



Britannia Consolidated Q3FY23 results were better than expectations.

- Revenue increased by 17% YoY to Rs 41968mn aided ~17% increase in transactions
- EBIDTA margins improved significantly** to 19.5% from 16.3% on a QoQ basis, and 15.1% YoY aided by price increase and favorable forward covers on wheat and drop in RPO prices. Raw Materials to Revenue stood at 56.3% v/s 62.1% YoY and 61.1% QoQ
- EBIDTA on absolute basis grew by 51.5% YoY to Rs 8176mn
- Reported PAT including exceptional income on transfer of dairy business to JV (with BEL-SA in cheese) recorded 153% YoY to Rs 9324mn
- PAT (adjusted) grew by 54.1% YoY to Rs 5734mn

Outlook:

- No-One-Off's in the revenues in Q3FY23
- No slowdown seen in Rural on account of efforts taken in distribution
- Rural Market Share gains were 1.5x All India
- Commodity inflation showing signs of correction. One off benefits of forward covers in-case of wheat to go-away, however new harvest would be available
- Endeavour is to maintain EBIDTA margins between 16-19%.

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22	FY23E	FY24E	FY25E
Net sales	115,996	131,361	141,363	162,824	179,449	197,481
EBIDTA	18,432	25,092	22,015	27,491	30,407	33,110
Margins	15.9	19.1	15.6	16.9	16.9	16.8
PAT (adj)	14,155	18,643	15,255	19,095	21,342	23,871
growth (%)	22.1	31.7	(18.2)	25.2	11.8	11.9
EPS	58.9	77.4	63.3	79.3	88.6	99.1
P/E (x)	78.4	59.7	72.9	58.2	52.1	46.6
P/B (x)	25.2	31.4	43.5	52.9	32.9	23.1
EV/EBITDA (x)	59.5	44.1	50.8	41.0	36.9	33.7
RoE (%)	32.1	52.6	59.6	90.8	63.1	49.6
ROCE (%)	27.9	40.6	39.6	49.1	46.4	43.1

Source: Dalal and Broacha

Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	4,954	8

Market data

Current price	Rs	4,573
Market Cap (Rs.Bn)	(Rs Bn)	1,102
Market Cap (US\$ Mn)	(US\$ Mn)	13,443
Face Value	Rs	1
52 Weeks High/Low	Rs	4,597/ 3,050
Average Daily Volume	('000)	636
BSE Code		500825
Bloomberg		BRIT.IN
Source: Bloomberg		

One Year Performance



Source: Bloomberg

% Shareholding	Dec-22	Sep-22
Promoters	50.55	50.55
Public	49.45	49.45
Total	100	100

Source: BSE

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Conference Call KTA's continue

Britannia Q3FY23 Concal KTA's	
VOLUME Growth:	No of transactions i.e Packets growth @ +17%
Rural Growth	Britannia witnessed no slowdown @39 quarter high, Gap further increased v/s competition
MARKET SHARE:	Rural MS gains 1.5x of All India
Demand:	Market growth post covid faster than the period of 2013 to 2019
Business Mix:	77% Biscuits 23% Non biscuits (of which 50% if cakes and rusks) v/s 85:35 7 to 8 years ago
INFLATION	cooling off
1.Food Commodity inflation:	YTD 12% in FY23 5% YoY
Inflation: Wheat	Indian prices continue to remain high International prices have corrected awaiting new season
Inflation: Palm Oil	witnessed correction
Value of Procurement:	Forward covers in flour and correction in RPO aided margins
OTHER COSTS	
1. Ad-Spends & Sales Promotion:	increased to pre-covidf levels
2. Cost Efficiency Savings	1.8x YoY 1x to 9X since FY14
DISTRIBUTION:	
1.Rural Dealers:	Dec-22 @28K March-22 @ 26K
2.Direct Reach in lakhs	26.4 v/s 24.9 in Mar-22 +1.5 lacs YTD

Britannia Q3FY23 Concal KTA's	
PRODUCTS:	
1.Croissants:	Croissant: National Scale up growth +150%
2.50-50 Golmaal:	50-50 Golmaal launched in Q1FY23 2x revenue since launch
3.New Product Contribution@:	~5% of Revenue
4.Innovations:	Biscafe launched in Q1FY23 5x Revenue since launch
	NC Seeds, Herbs and Protein launched Q1FY23 4x Revenue since launch
	50-50 Golmaal launched in Q1FY23 2x revenue since launch
	Milk Bikis Classic launched in FY22 Revenue growth +60% YoY
	Marble Cake: National scale up in Q2FY23 growth +130%
	Plump Cake launched in East and South
	Snacking- Tic Tac Toe launched
	Dairy - Fresh Paneer launched in West manufactured by 3rd party trial phase aim is to create a premium portfolio
ADJACENT BUSINESS	
1. Bakery	Heathy growths in Cake on the back of festive season Improved profitability across businesses
2. Dairy	Business potential ~ Rs 20 bn current Revenue ~ Rs 5bn+ capex phase- 1 Rs 6bn
3. International	Healthy profitable growths across key geographies Commercialization of own operations in Kenya

Britannia Q3FY23 Concal KTA's	
JV with Bel France 51% Britannia 49% BEL	Strategic partnership in fast growing Indian cheese market
	Strengths: Britannia Distribution BEL technical know-how
	Differentiated products to be produced at Ranjangaon
	Commercialization Cheddar cheese Q1FY24 Process cheese Q2FY24 cube block and spreads H2FY24
	Imports from Vietnam: Sachets and triangular cheese would continue till it reaches a Revenue threshold
	Vietnam has no import duty
Ranjangaon	Premiumization from Tetra to PET bottles
	Fresh Dairy → Dahi & other fresh innovative products in the pipeline
	Powder → Dairy Whitener for retail & Inputs for captive consumption namely SMP, SCM & Whey powde
	Milk Collection @ 70K liters from 2850 farmers target 150K liters from 4000 farmers
CAPEX:	Rs 7.5bn for 1) 3 new factory: UP, Bihar and Tamil Nadu Lines in Rajasthan 2) some lines in Rajasthan 3) Orissa one line FY24 to FY26 ~ Rs 2.5bn
Other KTA's	One off gains due to forward covers will go Q4FY23 Margins to settle between Q2 and Q3 levels
	Relevant price actions will be taken to drive market share some moderation required in select markets
	Main agenda is drive growth with distribution and products

Quarterly Financials

Particulars (Rs Mns)	Q3FY23	Q3FY22	Growth	Q2FY23	Growth
Consolidated					
Net Sales	41,014.9	35,307.0	16.2%	43,375.9	-5.4%
Other Op Income	953.1	442.8	115.2%	420.2	126.8%
Total OP Income	41,968.0	35,749.8	17.4%	43,796.1	-4.2%
Add: O. Income	507.5	551.3	-7.9%	532.4	-4.7%
Total Income	42,475.5	36,301.1	17.0%	44,328.5	-4.2%
RAW MATERIALS	(23,646.8)	(22,196.0)	6.5%	(26,745.7)	-11.6%
Employee Cost	(1,782.4)	(1,279.1)	39.3%	(1,625.7)	9.6%
O. E xps	(8,363.0)	(6,877.5)	21.6%	(8,307.7)	0.7%
EBIDTA	8,683.3	5,948.5	46.0%	7,649.4	13.5%
EBIDTA Less O. Inc	8,175.8	5,397.2	51.5%	7,117.0	14.9%
Less Int	(381.3)	(373.8)	2.0%	(541.4)	-29.6%
Less Depn	(579.6)	(503.8)	15.0%	(516.6)	12.2%
<i>Less Exceptional</i>	-	(9.8)		-	
PBT Before Exceptional	7,722.4	5,070.9	52.3%	6,591.4	17.2%
PBT	7,722.4	5,061.1	52.6%	6,591.4	17.2%
Less Tax	(2,169.1)	(1,362.2)	59.2%	(1,686.2)	28.6%
Share of Profit/Loss from Associate	14.7	(7.1)	-307.0%	0.6	2350.0%
Minority Interest	-	-		-	
PAT Reportd	9,324.0	3,691.8	152.6%	4,905.8	90.1%
PAT Adjusted Owner Share	5,734.0	3,721.7	54.1%	4,932.8	16.2%
Equity	240.9	240.9		240.9	
EPS (Adjusted PAT)	23.8	15.4		20.5	
OPM	19.5%	15.1%		16.3%	
NPM	13.1%	10.2%		11.1%	
Tax Rate	-28.1%	-26.9%		-25.6%	
% to Operating Income					
RAW MATERIALS	-56.3%	-62.1%		-61.1%	
Employee Cost	-4.2%	-3.6%		-3.7%	
O. E xps	-19.9%	-19.2%		-19.0%	
Total	-80.5%	-84.9%		-83.7%	

Source: Dalal & Broacha Research, Company

Valuation

Britannia's management have time and again proved themselves generating excellent results. The company has been gaining market share with better distribution on one end and product innovation on the other

Management focus on adjacent business has helped non-biscuit portfolio to form 23% of revenue as against 15% (7-8 years back).

Focus on dairy with a strong partner like BEL-SA should also yield results in the future and get to a revenue level of Rs 20bn from current levels of Rs 5bn.

We have revised our numbers upwards post concal and roll-over to FY25e. At CMP of Rs 4625 Britannia trades at 58x FY23e EPS of Rs 79.3 and 52x FY24e EPS of Rs 89 and 47x FY25e EPS of Rs 99.

With this kind of consistent performance we believe the stock will get re-rated thus **we maintain BUY ON DIPS** with a **target price of Rs 4,954** (i.e. 50x FY25 earnings).

Financials

P&L (Rs mn)	FY21	FY22	FY23E	FY24E	FY25E	Cash Flow St. (Rs. mn)	FY21	FY22	FY23E	FY24E	FY25E
Net Operating Income	131,361.4	141,362.6	162,823.6	179,448.6	197,480.8	Net Profit	18,639.0	15,248.2	22,685.1	21,341.7	23,871.3
Raw materials	(76,261.0)	(87,603.0)	(96,785.0)	(107,130.8)	(118,488.5)	Add: Dep. & Amort	1,978.5	2,005.4	2,185.8	2,397.5	2,609.2
Employee costs	(5,273.8)	(5,422.6)	(6,696.0)	(7,298.6)	(8,028.5)	Cash profits	20,617.5	17,253.6	24,870.9	23,739.3	26,480.6
Other Expenses	(24,734.3)	(26,321.9)	(31,851.4)	(34,612.4)	(37,854.1)	(Inc)/Dec in					
Cost of sales	(106,269.1)	(119,347.5)	(135,332.4)	(149,041.8)	(164,371.1)	-Sundry debtors	630.9	(746.6)	(503.9)	(390.4)	(423.4)
Operating Profit	25,092.3	22,015.1	27,491.1	30,406.8	33,109.7	-Inventories	(3,505.3)	(2,760.0)	292.1	(1,366.4)	(1,482.1)
Depreciation	(1,978.5)	(2,005.4)	(2,185.8)	(2,397.5)	(2,609.2)	-Loans/advances	786.8	2,205.8	876.4	(528.9)	(566.0)
PBIT	23,113.8	20,009.7	25,305.4	28,009.3	30,500.4	-Sundry creditors	1,984.7	(295.3)	1,466.7	1,530.6	1,680.3
Other income	3,129.3	2,228.3	2,100.6	2,315.2	2,920.3	-Others	2,363.1	1,813.2	1,595.8	416.7	437.5
Interest	(1,109.0)	(1,442.9)	(1,724.3)	(1,904.8)	(1,624.8)	Change in working capital	2,260.2	217.1	3,727.1	(338.5)	(353.7)
Profit before tax	25,134.1	20,795.1	25,681.6	28,419.6	31,795.9	CF from Oper. activities	22,877.7	17,470.7	28,598.0	23,400.8	26,126.9
Extraordinary Items /Except	-	-	3,756.0	-	-	CF from Inv. activities	(770.5)	4,383.6	497.2	(5,500.0)	(5,500.0)
Profit before tax(post Excep	25,134.1	20,795.1	29,437.6	28,419.6	31,795.9	CF from Fin. activities	(21,222.3)	(22,118.7)	(21,652.8)	(12,492.7)	(13,504.5)
Provision for tax	(6,630.2)	(5,623.5)	(6,825.0)	(7,153.2)	(8,003.0)	Cash generated/(utilised)	884.9	(264.4)	7,442.5	5,408.1	7,122.4
Reported PAT	18,503.9	15,171.6	22,612.6	21,266.4	23,792.9	Cash at start of the year	1,228.5	2,113.4	1,849.0	9,291.5	14,699.6
Share of Pft and Loss of						Cash at end of the year	2,113.4	1,849.0	9,291.5	14,699.6	21,821.9
Associates and Minority Int	141.2	86.4	72.5	75.4	78.5						
Adjusted PAT	18,643.5	15,255.3	19,095.1	21,341.7	23,871.3						
Balance Sheet	FY21	FY22	FY23E	FY24E	FY25E	Ratios	FY21	FY22	FY23E	FY24E	FY25E
Equity capital	240.9	240.9	240.9	240.9	240.9	OPM	19.1	15.6	16.9	16.9	16.8
Reserves	35,235.7	25,340.1	20,794.4	33,599.4	47,922.2	NPM	13.9	10.6	11.6	11.7	11.9
Net worth	35,476.6	25,581.0	21,035.3	33,840.3	48,163.1	Tax rate	(26.4)	(27.0)	(23.2)	(25.2)	(25.2)
Def. Tax Liab.+Minority Int.	363.4	275.0	319.0	363.0	407.0	Growth Ratios (%)					
Secured loans	7,471.5	7,069.9	17,097.7	15,097.7	13,097.7	Net Sales	13.2	7.6	15.2	10.2	10.0
Unsecured loans	13,571.5	17,585.5	13,118.0	11,118.0	9,118.0	Operating Profit	36.1	(12.3)	24.9	10.6	8.9
Total debt	21,043.0	24,655.4	30,215.7	26,215.7	22,215.7	PAT	31.7	(18.2)	25.2	11.8	11.9
CAPITAL EMPLOYED	56,883.0	50,511.4	51,570.0	60,419.0	70,785.8	Per Share (Rs.)					
Gross block	25,111.8	26,682.7	30,972.3	33,972.3	36,972.3	Net Earnings (EPS)	77.4	63.3	79.3	88.6	99.1
Accumulated depreciation	(8,541.3)	(10,546.7)	(12,732.5)	(15,130.0)	(17,739.2)	Cash Earnings (CPS)	86	72	103	99	110
Net block	16,570.5	16,136.0	18,239.8	18,842.3	19,233.1	Dividend	118.0	74.5	56.5	35.4	39.6
Capital WIP	1,165.2	5,356.8	4,000.0	4,000.0	4,000.0	Book Value	147.3	106.2	87.3	140.5	199.9
Total fixed assets	17,735.7	21,492.8	22,239.8	22,842.3	23,233.1	Free Cash Flow	91.77	90.72	120.78	74.31	85.62
Goodwill	1,359.0	1,396.1	1,473.7	1,473.7	1,473.7	Valuation Ratios					
Investments	27,806.9	17,623.7	14,116.1	16,616.1	19,116.1	P/E(x)	59.7	72.9	58.2	52.1	46.6
Inventories	10,914.9	13,674.9	13,382.8	14,749.2	16,231.3	P/B(x)	31.4	43.5	52.9	32.9	23.1
Sundry debtors	2,572.7	3,319.3	3,823.2	4,213.6	4,637.0	EV/EBITDA(x)	44.1	50.8	41.0	36.9	33.7
Cash & bank	2,113.4	1,849.0	9,291.5	14,699.6	21,821.9	Div. Yield(%)	2.6	1.6	1.2	0.8	0.9
Loans & advances	9,995.0	7,980.0	6,850.0	6,850.0	6,850.0	FCF Yield(%)	2.0	2.0	2.6	1.6	1.9
Other current assets	7,493.6	7,302.8	7,556.4	8,085.3	8,651.3	Return Ratios (%)					
Sundry creditors	(13,147.5)	(12,852.2)	(14,318.9)	(15,849.5)	(17,529.8)	ROE	52.6	59.6	90.8	63.1	49.6
O. Current Liabilities	(6,095.7)	(6,932.5)	(8,333.6)	(8,750.3)	(9,187.8)	ROCE	40.6	39.6	49.1	46.4	43.1
Provisions	(3,874.7)	(4,851.1)	(5,045.8)	(5,045.8)	(5,045.8)						
Working capital	9,971.7	9,490.2	13,205.6	18,952.1	26,428.2						
Deferred Tax Assets	9.7	508.6	534.8	534.8	534.8						
Miscellaneous exp.	-	-	-	-	-						
CAPITAL DEPLOYED	56,883.0	50,511.4	51,570.0	60,419.0	70,785.8						

Source: Dalal & Broacha Research, Company

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